



Qualification Programme Examination Panelist's Report

Module 2 – Management Accounting (December 2020 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Multiple Choice Questions

General Comments

This section consisted of 20 multiple choice questions. Candidates should allocate approximately 36 minutes for this section.

The syllabus of this paper relates broadly to the following topics:

- (a) Explain the role and purpose of management accounting;
- (b) Apply cost accounting;
- (c) Apply the principles and techniques for budgeting and forecasting; and
- (d) Analyse information for performance measurement.

Unlike Section B, which consists of long questions, questions in Section A can cover almost every part of the syllabus. The wide range of topics in the syllabus seems to have been manageable for most of the candidates. Some candidates were weak in some of the topics. Overall performance in this section was good.

Specific Comments

Candidates performed well with techniques for forecasting expenditure, inventory valuation, and evaluating project value, but were weak in the following topics:

- (a) Principles of budgeting;
- (b) Variance analysis; and
- (c) Margin of safety.

(II) Section B – Written Questions

General Comments

The questions in this section aimed to test candidates on their conceptual understanding and the related application to specific situations. In general, candidates performed well on computational questions and were weak in answering essay-type questions. Candidates need to perform well on both computational and essay-type questions in order to obtain good results.



For those candidates who scored high marks, they were able to present their answers in response to what was required, supporting their answers with the relevant workings and/ or explanations.

Most candidates performed well in Questions 3 and 4. Overall performance in this section was good.

Specific Comments

Question 1(a) – 4 Marks

This question required candidates to apportion the overhead costs of the two service departments (SDs) and calculate the ultimate allocated overhead costs of the two production departments.

Performance was fair. Many candidates did not allocate the overhead costs of SD2 correctly as they did not pick up SD1 overhead costs allocation into SD2. Nonetheless, they gained marks in previous allocation steps.

Question 1(b) – 4 Marks

This question required candidates to determine and explain the absorbing bases of the two production departments.

Performance was less than satisfactory. Most candidates did not state the concepts of machine intensive and labour intensive. A few candidates did not state separately the absorption bases for the two production departments.

Question 1(c) – 4 Marks

This question required candidates to calculate the budgeted overhead absorption rates of the two production departments.

Performance was unsatisfactory. Most candidates did not correctly use the machine hours and labour hours as absorption bases and thus were not able to calculate correctly the required budgeted overhead absorption rates.

Question 1(d) – 6 Marks

This question required candidates to calculate the selling price quoted for an order.

Performance was fair. Most candidates were able to calculate the prime costs and even the production costs. However, the majority of candidates incorrectly applied the profit margin percentage to calculate the selling price from the production cost instead of using the mark up percentage.



Question 1(e) – 6 Marks

This question required candidates to calculate the under- or over-absorbed overhead for the two production departments.

Performance was satisfactory. Most candidates were able to calculate the overhead incurred and/ or the overhead absorbed. However, many candidates were not able to calculate correctly the over- or under-absorbed overheads for the two production departments.

Question 1(f) – 4 Marks

This question required candidates to explain why companies use pre-determined overhead absorption rates for product costing.

Performance was fair. Most candidates provided a very brief answer with one reason only, and they did not demonstrate sufficient understanding of the practical application of the pre-determined overhead absorption rate for product costing.

Question 2(a) – 3 Marks

This question required candidates to prepare the production budget (in units).

Performance was good. Most candidates were able to include the budgeted sales and the inventory increase but were not able to work out correctly the 10% loss on output in preparing the production budget.

Question 2(b) – 6 Marks

This question required candidates to prepare the direct materials purchase budget.

Performance was good. Many candidates were able to correctly prepare the direct materials purchase budget.

Question 2(c) – 2 Marks

This question required candidates to prepare the direct labour budget.

Performance was fair. Most candidates demonstrated use of the correct formula for the direct labour budget even though they used incorrect input data.

Question 2(d) – 1 Mark

This question required candidates to calculate the pre-determined factory overhead absorption rate.



Performance was good. Most candidates were able to apply the correct formula to work out the pre-determined factory overhead absorption rate despite the use of incorrect input data.

Question 2(e) – 6 Marks

This question required candidates to calculate the budgeted factory cost of goods produced showing all cost elements and the unit production costs.

Performance was unsatisfactory. A few candidates were able to calculate the direct materials and/ or the direct labour. Most candidates were not able to calculate correctly the factory cost of goods produced.

Question 2(f) – 6 Marks

This question required candidates to explain the difference between management accounting and strategic management accounting

Performance was far from satisfactory. Most candidates were not able to explain the difference between management accounting and strategic management accounting.

Question 3(a) – 6 Marks

This question required candidates to justify whether the company should outsource the production of the components based on financial consideration.

Performance was good. Most candidates were able to include the avoidable fixed costs in the calculation of the relevant costs of the “make” option and provide the correct recommendation.

Question 3(b) – 4 Marks

This question required candidates to analyse the new recommendation if the production facilities can be leased out.

Performance was unsatisfactory. Most candidates were not able to include correctly the opportunity costs of leasing out in the calculation of the revised relevant costs of the “make” option.

Question 3(c) – 4 Mark

This question required candidates to explain two non-financial factors for outsourcing.

Performance was good. The majority of the candidates were able to explain concisely the non-financial factors for outsourcing.



Question 4(a) – 8 Marks

This question required candidates to calculate the return on investment (“ROI”) in percentage and the residual income (“RI”) for the two divisions.

Performance was fair. More than a quarter of the candidates correctly calculated the ROI and RI for the two divisions. About a quarter of the candidates correctly calculated either the ROI or the RI for the two divisions.

Question 4(b) – 6 Marks

This question required candidates to analyse the performance of each division from the point of view of management.

Performance was satisfactory. Many candidates were able to explain the decision rules for ROI and RI, and a few were able to contrast the performance of the two divisions from the point of view of management as well.

(III) Conclusion and Recommendation

Candidates’ performance on questions on overhead absorption bases and strategic management accounting was unsatisfactory. Understanding of the overhead absorption bases is fundamental in determining the appropriate base for a production department to calculate the pre-determined overhead absorption rate. This is a frequently examined topic that candidates should take note of it. Strategic management accounting is increasingly important due to technological advancement and data analytic development in the business environment. A number of candidates did not perform well on these topics.

Candidates are advised to prepare well for the examination, to study sufficiently for topics covered in the syllabus, and to expect unexpected topics to come up occasionally. Candidates should also work on their interpretation skills, making sure they understand exactly what each question requires, and their analytical skills in digesting and relating the different qualitative and quantitative information given in a question.